Hunny Shah

AA - Review, Reporting

The opinion-modification technique, worked examples, KAM, and real examiner's comments

Kaplan AA Exam Kit 2025-26 - built from the reporting/completion parts of Q239-260: Cookit, Latte, Heron, Pacific, Spinach, Danube, Purrfect, Sagittarii & Co, Encore, Spadefish, Hyacinth, Jasmine, Gooseberry, Dashing, Airsoft, Insects4U, Elounda, Andromeda, Hawthorn, Pineapple Beach Hotel, Violet & Co

Question-type map (per your own notes)

Question type	Companies
KAM	Latte Co, Spinach Co, Danube Co, Airsoft Co
Modified opinion (report)	Cookit Co, Pacific Co, Sagittarii & Co, Encore Co, Gooseberry Co, Dashing Co, Andromeda Co, Pineapple Beach Hotel, Insects4U Co
Report + procedure combined	Heron Co
Adequate vs inadequate disclosure	Purrfect Co, Jasmine Co
Going concern reporting	Jasmine Co, Spadefish Co, Elounda Co
Disclaimer / adverse worked examples	Violet & Co (Daisy Co = disclaimer; Fuchsia Co = adverse)

1. The universal reporting technique

Every 'discuss the issue and describe the impact on the auditor's report' question is answered with the same six-step structure. Learn it once, then apply the numbers from the scenario.

Step	What to do
1. Discuss the issue	State the accounting treatment required (name the standard) and what the client has actually done. Explain the specific direction of misstatement — e.g. 'the provision should be included... failure to do so causes profits to be overstated and provisions understated.' Don't just restate the scenario fact — say what's wrong and which way the numbers move.
2. State the impact on the financial statements	Name the specific balance(s) affected and the direction — overstated / understated. This is usually bundled with step 1 but is separately markable.
3. Materiality calculation	Calculate the misstatement as a % of the most relevant benchmark (usually profit before tax, and/or total assets or revenue). State the % and conclude explicitly: 'It is therefore material.'
4. Determine the type of modification	Ask two questions: (a) Is it material? (b) If material, is it ALSO pervasive (affects a substantial portion of the FS, or is fundamental to users' understanding)? Material but not pervasive → qualified opinion. Material AND pervasive → adverse opinion (misstatement) or disclaimer of opinion (inability to obtain evidence).

Step	What to do
5. State the opinion paragraph wording	Qualified: '...except for [the matter], the financial statements give a true and fair view.' Adverse: '...the financial statements do NOT give a true and fair view.' Disclaimer: '...we do not express an opinion on the financial statements.'
6. State the impact on the rest of the report	A basis for [qualified/adverse] opinion paragraph (or basis for disclaimer of opinion) is inserted immediately AFTER the opinion paragraph, explaining the matter and its effect on the financial statements. For a disclaimer, the reference to professional standards normally in the basis section moves to the auditor's responsibilities section, and the wording changes from 'we have audited' to 'we were engaged to audit.'

1.1 Decision matrix — which opinion?

Situation	Resulting opinion
Material, not pervasive, due to a misstatement	Qualified opinion — '...except for...'
Material AND pervasive, due to a misstatement	Adverse opinion — financial statements do NOT give a true and fair view.
Material, not pervasive, due to inability to obtain sufficient appropriate evidence	Qualified opinion — '...except for the possible effects of...'
Material AND pervasive, due to inability to obtain sufficient appropriate evidence	Disclaimer of opinion — auditor does not express an opinion.
Material, adequately disclosed by management (no misstatement)	Unmodified opinion + Emphasis of Matter paragraph (or Material Uncertainty Related to Going Concern section if the matter is going concern).
Material, NOT adequately disclosed by management	Modified opinion (usually qualified — the non-disclosure itself is the material misstatement).

Examiner's comments (real, attributed feedback from past sittings)

- Cookit Co: no credit is given for 'qualified report' or 'the audit report is modified' — it is the OPINION that is modified, not the report as a whole. **Always say 'qualified opinion', 'adverse opinion', or 'disclaimer of opinion' specifically.**
- Multiple reports: don't scatter-gun all possible opinion types hoping one sticks — this wastes time and shows you haven't actually worked through the decision matrix. Reach one specific conclusion and justify it.
- Multiple reports: the discussion-of-issue mark requires explicitly stating the misstatement is 'overstated' or 'understated' — describing the situation without naming the direction of misstatement loses the mark even if the surrounding narrative is otherwise correct.
- Andromeda Co / Gooseberry Co: a management argument that an error is 'immaterial' or 'a reasonable judgement' must be directly addressed and refuted using your own materiality calculation — don't just ignore the client's counter-argument.

2. Qualified opinion — worked examples

Every one of these follows the identical 'except for' pattern. Notice how the materiality benchmark and % change, but the structure never does.

Issue	Materiality	Conclusion	Source
Redundancy provision omitted (constructive obligation existed pre-year-end via a formally announced closure plan, but management excluded it as the closure itself is post-year-end).	$1.8m understatement of liabilities / overstatement of profit = 7.9% of PBT, 2.1% of net assets. Material, not pervasive.	Qualified opinion, 'except for'.	*Cookit Co*
Legal claim provision understated (management's estimate did not reflect audit evidence of the likely settlement amount).	$0.3m understatement of provision/overstatement of profit = 7.3% of PBT. Material, not pervasive.	Qualified opinion, 'except for'.	*Pacific Co*
Restructuring provision included $270,000 of costs that fail the IAS 37 recognition criteria (e.g. retraining costs for existing staff, which must be specifically excluded).	$270,000 overstatement of provision and expenses / understatement of profit = 2.3% of total assets/equity and liabilities. Material, not pervasive.	Qualified opinion, 'except for'.	*Sagittarii & Co*
Probable regulatory fine (breach and investigation occurred pre-year-end; the post-year-end announcement of enforcement action is an ADJUSTING subsequent event under IAS 10) not provided for.	$850,000 understatement of provision / overstatement of profit = 16% of PBT, 2.1% of total assets. Material, not pervasive.	Qualified opinion, 'except for'.	*Encore Co*
Development expenditure for a project that does not meet the IAS 38 capitalisation criteria has been capitalised as an intangible asset instead of expensed as research.	Overstatement of intangible assets / profit, e.g. 6.9% of PBT and 1.2% of total assets (Gooseberry); 11.8% of PBT (Andromeda). Material, not pervasive.	Qualified opinion, 'except for'.	*Gooseberry Co / Andromeda Co*
Redundancy provision understated relative to the audit team's recalculation using correct source data.	$195,000 understatement = 7.5% of PBT, 1.1% of total assets. Material, not pervasive.	Qualified opinion, 'except for'.	*Dashing Co*
A post-year-end supplier payment run was processed against year-end payables and cash, evidence of window dressing — trade payables understated AND the bank overdraft overstated.	$490,000 = 6.0% of total liabilities. Material, not pervasive. (Note: management's argument that 'both balances are current liabilities so it doesn't matter' is invalid — each balance must be materially correct individually.)	Qualified opinion, 'except for'.	*Insects4U Co*

Examiner's comments (real, attributed feedback from past sittings)

- Insects4U Co: a client argument that a misclassification 'doesn't matter because both figures are within the same financial statement category' (e.g. both current liabilities) is never valid — materiality is assessed by balance, not by category netting.

- Encore Co: correctly identifying WHY a post-year-end event is adjusting (it provides further evidence of a condition that existed at the year end, per IAS 10) is itself a markable point, separate from the materiality and opinion conclusion — don't skip straight to the numbers.

3. Disclaimer of opinion & adverse opinion

Disclaimer of opinion — inability to obtain evidence, material and pervasive

Situation	Why material & pervasive	Reporting outcome	Source
Directors refuse to sign the written representation letter.	The representation letter covers fundamental matters (completeness of transactions, proper FS preparation, all information provided to the auditor) — refusal casts doubt on management integrity and is an inability to obtain sufficient appropriate evidence across a wide range of matters. Considered material AND pervasive.	Disclaimer of opinion: '...we do not express an opinion on the financial statements.' The basis section becomes a 'basis for disclaimer of opinion.' The reference to auditing standards moves out of the basis section into the auditor's responsibilities section, and 'we have audited' becomes 'we were engaged to audit.'	*Pineapple Beach Hotel*
A client's sales ledger was corrupted by a computer virus with no detailed testing possible on revenue and receivables — both balances are individually larger than total profit before tax.	Two material balances (receivables at 170% of PBT, revenue at nearly 8x PBT) cannot be verified by any means, even after attempting alternative procedures (analytical review, proof-in-total).	Disclaimer of opinion — inability to obtain sufficient appropriate evidence over two material and pervasive areas.	*Violet & Co (Daisy Co)*

Adverse opinion — misstatement, material and pervasive

Situation	Why material & pervasive	Reporting outcome	Source
A company is experiencing genuine going concern difficulty (large net cash outflow, loss-making year against a prior-year profit) but the financial statements are still prepared on the going concern basis, and management refuses to change this or make adequate disclosure.	The going concern basis itself is judged inappropriate — this is not a disclosure problem but a fundamental basis-of-preparation problem affecting the whole of the financial statements.	Adverse opinion: '...the financial statements do NOT give a true and fair view.' A basis for adverse opinion paragraph explains the inappropriate use of the going concern basis.	*Violet & Co (Fuchsia Co)*

Examiner's comments (real, attributed feedback from past sittings)

- The disclaimer/adverse distinction is really about WHERE the problem lies: a disclaimer is 'we couldn't get evidence about X' (an evidence problem); an adverse opinion is 'we have enough evidence and the financial statements are simply wrong/inappropriately prepared, pervasively' (a misstatement problem). Both require material AND pervasive the difference is evidence vs misstatement.

- Violet & Co: a written representation on going concern is still appropriate to obtain (ISA 570 specifically requires one) even where the auditor is sceptical of management's assertion — a representation is one procedure among several, not a substitute for the auditor's own testing, and cannot be used to avoid a modified opinion if disclosure remains inadequate.

4. Emphasis of Matter — the adequate/inadequate disclosure pattern

This pattern applies whenever a matter is correctly a DISCLOSURE issue (not a misstatement) — e.g. a possible (not probable) contingent liability under IAS 37. The whole answer turns on one question: did management disclose it adequately?

Scenario	Reporting treatment	Source
Adequate disclosure	Unmodified opinion, PLUS an Emphasis of Matter paragraph cross-referencing the relevant note, drawing attention to it while making clear the opinion itself is not modified.	Purrfect Co (contamination — possible future claims)
Inadequate / no disclosure	The lack of disclosure IS a material misstatement in itself. Modified (usually qualified, 'except for') opinion, with a basis for qualified opinion paragraph explaining the inadequate disclosure.	Purrfect Co (contamination — possible future claims)

Examiner's comments (real, attributed feedback from past sittings)

- Purrfect Co: the trigger for this pattern is a matter that is POSSIBLE (not probable) and therefore correctly a disclosure-only matter under IAS 37 (a contingent liability) — don't default to a provision/misstatement analysis when the accounting answer is actually 'disclose, don't provide.' The reporting question then turns entirely on whether that required disclosure was actually made adequately.

5. Going concern reporting

The same adequate/inadequate logic as Section 4, but going concern has its own specific paragraph name when disclosure is adequate — don't call it a generic Emphasis of Matter paragraph.

Scenario	Reporting treatment	Source
Adequate disclosure of a material uncertainty (e.g. outcome of overdraft renewal negotiations not yet known at the date of signing)	Auditor's report includes a 'Material Uncertainty Related to Going Concern' section (placed after the opinion and basis for opinion paragraphs). States the opinion is NOT modified, identifies the uncertainty, and cross-references management's disclosure note.	Jasmine Co
Inadequate disclosure of a material uncertainty	The inadequate disclosure is itself a material misstatement. Likely material but not pervasive given the ongoing/uncertain nature of the matter, so a qualified opinion is issued: '...except for the failure to adequately disclose the uncertainty...' A basis for qualified opinion paragraph explains that a material uncertainty exists and has not been adequately disclosed.	Jasmine Co

Examiner's comments (real, attributed feedback from past sittings)
• Jasmine Co: this is the going concern equivalent of the Emphasis of Matter/qualified split above — same decision structure (adequate vs inadequate disclosure), but the paragraph used when disclosure IS adequate has a specific name and place: 'Material Uncertainty Related to Going Concern', not a generic Emphasis of Matter paragraph. Using the wrong paragraph name loses marks even if the logic is otherwise correct.

6. Key Audit Matters (KAM)

Knowledge

Point	Detail
Definition	Key audit matters (KAM) are those matters which, in the auditor's professional judgement, were of most significance in the audit of the financial statements of the current period. KAM are selected from matters communicated with those charged with governance.
Purpose	To help users understand the entity and provide a basis for users to discuss the matter with management/those charged with governance; enhances the communicative value of the auditor's report.
Who gets a KAM section	Required for listed entities; may be included voluntarily for others.
Factors in determining a KAM (per ISA 701)	Areas of higher assessed risk of material misstatement / significant risks; significant auditor judgements relating to areas involving significant management judgement (e.g. accounting estimates); the effect on the audit of significant events or transactions during the period.
Contents of a KAM description	A reference to the related financial statement disclosures; WHY the matter was considered one of most significance (why it's a KAM); HOW the matter was addressed in the audit (a brief overview of the audit approach/procedures, and confirmation that related disclosures were reviewed).

"Factors to consider" answer template

- Whether the matter was communicated to those charged with governance (KAM are drawn from that communication).
- The level of risk relating to the matter (higher assessed risk / significant risk).
- The level of judgement involved, particularly where the balance is an accounting estimate.
- Whether, in the engagement partner's professional judgement, the matter was of most significance in the audit of these financial statements for this period.

Worked examples — what was the KAM?

The matter	Source
Valuation of a legal claim provision (significant estimation uncertainty).	Latte Co
Valuation of inventory (NRV assessment involving significant judgement).	Spinach Co
Completeness of a provision and recognition of a related receivable arising from a customer claim and supplier counter-claim.	Danube Co

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Examiner's comments (real, attributed feedback from past sittings)

- Latte Co / Danube Co / Spinach Co: structure the answer around WHAT the issue is, WHY it's a KAM (risk + judgement + significance), and HOW it was addressed (procedures performed + disclosures reviewed) — one clear point under each of these three headings is enough to maximise the available marks.
- Multiple reports: a recurring, easily avoidable error is answering a KAM requirement as if it were a modified-opinion question (discussing materiality/qualification) — KAM and modified opinions are different, independent parts of the syllabus. Read the requirement to see which is actually being asked.
- Latte Co: many of the 'factors to consider' marks are pure ISA 701 knowledge and don't need the scenario at all — don't under-write this part by trying to force scenario-specific detail where a general knowledge point would do.
- Multiple reports: some candidates try to draft the literal wording of the KAM paragraph — the requirement asks you to DESCRIBE its content, not write the actual paragraph text.